



Photographs by A PRABHAKAR RAO

Cause for Worry

“Investor sentiment has been badly dented in the wake of the scandal. There was panic selling after the disclosures on fears that Satyam may cease to exist.”

AMBAREESH BALIGA, Vice-President, Karvy Broking

“This is a setback to India's flagship IT sector. We have been promoting corporates and entrepreneurs as Brand India and then one shows deplorable behaviour.”

NANDAN NILEKANI, Co-chairman, Infosys

“Every customer who has outsourced work to Satyam will be weighing the risks, reviewing their contracts. After all it is not easy to transfer work to new vendors.”

SOM MITTAL, President, Nasscom

“The finance ministry's move, a year ago, to allow boards of directors of all banks to select their own auditors makes it a highly risk-prone system.”

VED JAIN, President, ICAI



software companies. Already IT companies have lost \$2 billion in market capitalisation, thanks to the fraud. For a sector mortally dependent on its credibility vis-a-vis foreign institutional investment, the blow has been nearly lethal.

Satyam itself is bleeding badly. It is not just investors who are on the run. The cracks in corporate governance are hurting Satyam's customer base, which ranges from Unilever, Nestle to Cisco, GE, Sony and, until recently, the World Bank, which has already declared the software firm ineligible for contracts as it was found to have provided improper benefits to Bank staff. Applied Materials, which awarded a \$200-million five-year contract last year to Satyam for managing its software application and maintenance work is said to be reworking the outsourcing agreement. According to IT industry sources, others reviewing services contracts and assessing their exposure to risks are National Australia Bank, General Electric and Nestle.

Naturally, the 53,000 employees are on tenterhooks. To start with, they find themselves in a company that is nearly bankrupt. Worse, they may not have projects to work on as customers exit. Already over 15,000 resumes of employees are out and more could exit. While the three new directors have praised the quality of the talent pool and have assured

continuity, the nervousness is unmistakable. Unless there is a dramatic turnaround in the company, there is nothing flattering any longer about having Satyam on the resume, say headhunters like Shiv Agrawal, CEO, ABC Consultants. The company has been approached by Satyam's rivals to poach talent from Satyam, both for India and overseas postings—about 150 people. “These are for senior and middle-level positions in banking and financial sectors. Had conditions been better, the exodus would have been significant,” says Agarwal.

While early thinking within the Government was to save the entity called Satyam, clearly the rough weather has triggered a re-think. The moot point is with such a massive credibility gap the company would find it hard to get business to stay alive. The ban by the World Bank and speculation of the involvement of key officials are other aggravating factors. The second thought is to clean up the books, take stock of the talent pool and find suitors. For starters, the Government's proposed bailout package is intended to cover the salaries and costs (including rentals of over Rs 1,000 crore for its overseas offices). The next step would be to find how best the company can be spliced and hived off unless it finds a suitable boy among existing Indian outfits. According to board